



Feasibility Overview

16 Claremont Road, Luton, Bedfordshire, LU4 8LZ | Prepared for Daniel Browne, Eden Park
Property Investments | TH00212

1. Property and Location Overview

The subject property is a mid terrace dwelling in the Beech Hill ward of Luton, off the Dunstable Road corridor. It is currently a three bedroom house with three reception rooms and is offered at a guide of about £350,000.

The property is large for its type and already benefits from a rear extension, which reduces build cost. Neighbouring houses on the street carry rear dormers, which indicates the roof can take a comparable loft conversion and the head height needed for it.

The planning designations are clear. The site is not in an Article 4 area, not in a conservation area, not listed, not in a flood zone, and not in the green belt. A change of use to a six bedroom C4 HMO is therefore permitted development.

A small number of HMOs exist nearby, but Luton operates no HMO density, concentration or sandwiching policy, so the presence of other HMOs does not constrain the scheme. The location suits shared living, with demand from professionals and hospital and airport workers and good rail and road access to London.

2. Proposed HMO Strategy

Target: a seven bedroom HMO delivered in two stages, with all rooms en suite.

- Stage one is a six bedroom C4 HMO plus a rear dormer loft, both permitted development, confirmed by a Lawful Development Certificate.
- Stage two adds a seventh bedroom as a large HMO (sui generis) by full planning, once the six bedroom HMO is established.
- All bedrooms are en suite, which supports valuation and lending.
- One room can be run as a double later to reach eight persons, subject to survey, though this is not recommended as a base case.

Why the scheme is phased

The one policy that could affect the seventh bedroom is the protection of family housing. This is applied in Luton through Policies LLP1 and LLP15. Establishing the property first as a lawful, tenanted six bedroom HMO removes the family dwelling, so the seventh bedroom is judged as an addition to an existing HMO rather than the loss of a family home.

The six bedroom certificate should be implemented and tenanted, with tenancy and licence records kept, rather than relied on as a paper approval. Given the current political pressure against HMOs, a fully established use gives the seventh bedroom argument its full weight.

Room and amenity sizing

- Every bedroom exceeds the standards. No single bedroom falls below 10 sqm, against a 6.51 sqm legal minimum and a 7.5 sqm design target.
- The communal target for seven persons is 23.5 sqm (kitchen 11 sqm plus living and dining 12.5 sqm). The proposed scheme provides about 32 sqm, well above the minimum.



3. Design Opportunities and Key Constraints

Ground floor

Two bedrooms sit to the front and centre, each about 10 sqm, with en suites placed in the darker central zone so the bedrooms keep the natural light. Bedroom one retains the bay window. The whole rear becomes a single communal space, arranged as kitchen, then dining, then a living area with direct access to the garden. The rear window is proposed as double doors to the garden.

Upper floors

Internal change is kept to a minimum to control cost, reusing existing walls and the existing bathroom. The bedrooms are generous for the house type. En suites are stacked floor to floor for simpler construction. Larger rooms above 13 sqm can take a tea station, that is a small fridge, sink and cupboard, to lift room appeal and rent.

Loft

A rear dormer under permitted development provides two further bedrooms with two en suites and rooflights. The dormer must stay within the 40 cubic metre terrace volume allowance and set back 200mm from the eaves. The loft is the main uncertainty. Head height, and any floor drop, will be confirmed by survey, and only space above 1.5m counts toward the room area.

Outbuilding

The outbuilding is about 20 sqm. It is too small to be a dwelling, since the minimum for a one person home is 37 sqm, and it is short on garden and independent access. It is proposed as a shared co working space for the tenants. As an ancillary amenity it strengthens the seventh bedroom application, because case officers and committees view extra communal amenity favourably.

Bin and cycle storage

A dedicated screened store is proposed to the rear, with a clear presentation route to the highway, which is the point officers scrutinise on terraced HMOs.

4. Planning Position and Risk

Principle of development

- Six bedroom C4 plus the loft is permitted development, confirmed by a Lawful Development Certificate.
- A nearby certificate confirms the route, at 5 Shaftsbury Road, a terrace in the same area granted an LDC for a rear dormer plus a C4 conversion.
- The seventh bedroom is sui generis and needs full planning, judged under Policy LLP17 on character, standards and amenity.

Key planning risk

The protection of family housing is the one policy that could affect the seventh bedroom. It is not an express test in Luton but is applied through Policies LLP1 and LLP15 and the housing need evidence. It is mitigated by establishing the six bedroom HMO first, so there is no family dwelling to lose. A nearby approval at 39 Hazelbury Crescent granted a seventh person on exactly this basis. The certificate should be implemented and tenanted to give the argument full weight.



Secondary risks

- Loft volume and head height, resolved by the measured survey.
- Acoustic and fire upgrade for the seventh bedroom, which is a cost item rather than a planning bar.
- Amenity provision, addressed by the large communal space and the co working outbuilding.

Professional view

The scheme is well supported. The six bedroom route is low risk and permitted development. The seventh bedroom is achievable when phased correctly. Pre application advice is optional for the six bedroom stage and advisable for the seventh.

5. Building Regulations and Technical Compliance

The conversion is a full technical upgrade, not a light refurbishment.

Part B, fire

- Protected means of escape, fire doors, and a detection and alarm system.
- Requirements are more onerous at seven bedrooms.

Part E, acoustics

- Separating floors and walls upgraded for sound insulation.
- Additional acoustic work applies to the sui generis seventh bedroom.

Part L, thermal

- Insulation and services upgraded to current standards.
- The EPC should be lifted to at least E, and ideally higher.

Part F, ventilation

- Mechanical extract to the kitchen, bathrooms and en suites.

The absence of a rear extension and the reuse of existing walls limit structural work. The loft, and any floor drop, is the main build item.

6. Commercial Position

Comparable en suite rooms in the LU4 area let at about £625 to £795 per month with bills included. A mid market figure of £675 is adopted for indicative purposes, sourced from SpareRoom listings for Luton in June 2026.

On seven rooms this gives an indicative gross rent of about £56,700 a year. Net of a 25 percent operating allowance for bills, management and voids, this is about £42,500 a year. At a suburban HMO yield of 8.5 percent this implies an indicative capital value of about £500,000.

On the six bedroom base case the indicative gross rent is about £48,600 a year, net about £36,450, implying a value of about £429,000.

Build cost was discussed at about £180,000 for six bedrooms and £200,000 to £220,000 for seven, reflecting the loft and the additional acoustic work. A measured building survey through Point Scan is about £850.

Indicative comparables:



- Swallow Close, LU4, purpose built en suite HMO room, £695 to £795 per month, bills included.
- Lewsey Road, LU4, room at £625 per month.
- Luton average room rate about £650 per month, June 2026.

All figures are indicative and subject to survey, builder quotes and broker validation. The acquisition price, quoted at about £350,000, is the key variable, and the return improves with a lower purchase price.

7. Key Next Steps

+ Obtain builder quotations using the sketches, ideally from a contractor with experience in HMO projects.

+ Commission a measured building survey through Point Scan, at an estimated cost of £850, once the offer has been accepted. This will take approximately two weeks from instruction.

+ Prepare the existing and proposed drawings, together with the Lawful Development Certificate application for the six bedroom HMO and loft conversion. This will take approximately two weeks from instruction.

+ Prepare the full construction drawing package to support Building Control approval and provide sufficient information for the appointed contractor. This will take approximately three weeks from instruction.

+ Implement the approved works and tenant the six bedroom HMO, ensuring that all licensing and tenancy records are retained.

+ Prepare the planning application for the seventh bedroom under a Sui Generis use, using the established HMO baseline and including the co working outbuilding as additional amenity space. This will take approximately two weeks from instruction.

+ Confirm the HMO licensing requirements and loft head height during the measured survey stage.

8. Conclusion

16 Claremont Road is a sound HMO conversion candidate. The property is large, already extended, and free of the main planning constraints. The six bedroom C4 route is low risk and permitted development.

The recommended target is seven bedrooms, delivered in two stages, all en suite, with a large communal space and a co working outbuilding. Eight persons is possible at a later stage but is not recommended as a base case, to avoid over optimising the scheme.

The income is strong. The commercial return depends on the purchase price and the build cost, which should be validated with builder quotes and a broker before Daniel commits to the acquisition.